Cost Principles

Course Resources

Allowability Checklist

Use this handy checklist to determine the allowability of your spending. Remember that spending must meet all of the following criteria to be allowable!

- ◯ Spending **must be necessary and reasonable for award performance.** In other words, incurring that cost must be necessary in order to achieve the project objectives. It is not allowed to purchase items for an award that are not going to be used for that award.

- ◯ All spending **must be in compliance with the Cost Principles and award terms.** Spending must follow the approval requirements that exist within this regulation. Within your award, it might also state that you need to obtain prior approval for particular items.

- ◯ Spending **must be consistent with your organization's policies and procedures.** As always, the U.S. Government wants you to follow your organization's own policies and procedures. As an example, your organization can set its own per diem rates or use the U.S. Government's rates.

- ◯ Cost items must be assigned consistently as direct or indirect.

- ◯ Spending **must meet generally accepted accounting standards,** either the Generally Accepted Accounting Principles (GAAP) or the International Accounting Standards (IAS). The U.S. Government expects that you will follow those standards in all of your organization's spending.

- ◯ A cost charged to a U.S. Government award **cannot also be charged as a cost share or matching contribution.** If the award has a cost share or matching requirement, the recipient will need to satisfy that requirement using non-U.S. Government resources.

- ◉ Spending **must be adequately documented.** The U.S. Government does not provide guidance on what is meant by adequate documentation. The process and format are for your organization to decide as part of its written policies and procedures.

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Selected Items of Cost Quick Reference

The table below is a summary of general allowability and prior approval requirements in the Selected Items of Cost. Although there are some costs that are always unallowable, the allowability of most costs listed below depends on the circumstances in which the cost is incurred. Similarly, some costs always require prior approval, but others only require approval in certain circumstances. Do not use this quick reference to decide if a cost is allowable. Its purpose is to guide you to the selected items of cost that you must read to make your determination of the allowability of the cost.

	Allowable	Prior Approval	Unallowable
Advertising and public relations (2 CFR 200.421)	✓		✓
Advisory councils (2 CFR 200.422)		✓	✓
Alcoholic beverages (2 CFR 200.423)			✓
Alumni/ae activities (2 CFR 200.424)			✓
Audit services (2 CFR 200.425)	✓		✓
Bad debts (2 CFR 200.426)			✓
Bonding costs (2 CFR 200.427)	✓		
Collections of improper payments (2 CFR 200.428)	✓		
Commencement and convocation costs (2 CFR 200.429)			✓
Compensation - personal services (2 CFR 200.430)	✓	✓	
Compensation - fringe benefits (2 CFR 200.431)	✓	✓	✓

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Selected Items of Cost Quick Reference

	Allowable	Prior Approval	Unallowable
Conferences (2 CFR 200.432)	✓		
Contingency provisions (2 CFR 200.433)			✓
Contributions and donations (2 CFR 200.434)			✓
Defense and prosecution of criminal and civil proceedings, claims, appeals and patent infringements (2 CFR 200.435)		✓	✓
Depreciation (2 CFR 200.436)	✓		
Employee health and welfare costs (2 CFR 200.437)	✓		
Entertainment costs (2 CFR 200.438)		✓	✓
Equipment and other capital expenditures (2 CFR 200.439)	✓	✓	✓
Exchange rates (2 CFR 200.440)	✓	✓	
Fines, penalties, damages and other settlements (2 CFR 200.441)		✓	✓
Fund raising and investment management costs (2 CFR 200.442)	✓	✓	✓
Gains and losses on disposition of depreciable assets (2 CFR 200.443)	✓		

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Selected Items of Cost Quick Reference

	Allowable	Prior Approval	Unallowable
General costs of government (2 CFR 200.444)			✓
Goods or services for personal use (2 CFR 200.445)	✓	✓	✓
Idle facilities and idle capacity (2 CFR 200.446)	✓		✓
Insurance and indemnification (2 CFR 200.447)	✓	✓	✓
Intellectual property (2 CFR 200.448)	✓		✓
Interest (2 CFR 200.449)	✓		✓
Lobbying (2 CFR 200.450)			✓
Losses on other awards or contracts (2 CFR 200.451)			✓
Maintenance and repair costs (2 CFR 200.452	✓		
Materials and supplies costs, including costs of computing devices (2 CFR 200.453)	✓		
Memberships, subscriptions, and professional activity costs (2 CFR 200.454)	✓	✓	✓
Organization costs (2 CFR 200.455)		✓	✓
Participant support costs (2 CFR 200.456)	✓	✓	
Plant and security costs (2 CFR 200.457)	✓		

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	Allowable	Prior Approval	Unallowable
Pre-award costs (2 CFR 200.458)	✓	✓	
Professional service costs (2 CFR 200.459)	✓		
Proposal costs (2 CFR 200.460)	✓		
Publication and printing costs (2 CFR 200.461)	✓		
Rearrangement and reconversion costs (2 CFR 200.462)	✓	✓	
Recruiting costs (2 CFR 200.463)	✓		✓
Relocation costs of employees (2 CFR 200.464)	✓		✓
Rental costs of real property and equipment (2 CFR 200.465)	✓		✓
Scholarships and student aid costs (2 CFR 200.466)	✓	✓	
Selling and marketing costs (2 CFR 200.467)		✓	✓
Specialized service facilities (2 CFR 200.468)	✓		✓
Student activity costs (2 CFR 200.469)			✓
Taxes (including Value Added Tax) (2 CFR 200.470)	✓	✓	
Termination costs (2 CFR 200.471)	✓		✓

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	Allowable	Prior Approval	Unallowable
Training and education costs (2 CFR 200.472)	✓		
Transportation costs (2 CFR 200.473)	✓		
Travel costs (2 CFR 200.474)	✓	✓	✓
Trustees (2 CFR 200.475)	✓		

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Cost Allowability Verification Steps

1. Determine if the award has any conditions or restrictions on incurring the cost. Follow what the award says.
2. Determine if the cost is addressed in the Selected Items of Cost. Follow the guidance provided there.
3. Determine if prior approval is required. If so, go to Step 4. If not, go to Step 5.
4. Determine whether prior approval has already been provided, for example, in the award document. If prior approval has not been provided and it is required, then obtain prior written approval.
5. Verify that the cost is reasonable. Document any unusual circumstances that affect the reasonableness of the cost.
6. Verify that the cost is allocable to the award.
7. Verify that the cost will be incurred according to the organization's policies.
8. Ensure that your verification steps are documented.

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Cost Principles Glossary

2 CFR 200	Also known as the Uniform Guidance, this is an extensive regulation that addresses requirements for US government grants and cooperative agreements. The cost principles for non-profit organizations and IHEs are found in Subpart E of 2 CFR 200
AO	Agreement Officer. This is the person at USAID who signs your award and issues your prior approvals (unless some have been delegated to the AOR).
AOR	Agreement Officer Representative. This is the technical specialist who advises the AO on programmatic matters
AOR Designation Letter	A letter from the USAID Agreement Officer to the Agreement Officer Representative specifying which prior approvals the AO has delegated to the AOR. A copy of this letter should be made available with every award and can be requested if missing.
CFR	Code of Federal Regulations. This is an indexing and reference system for U.S. Government regulations across multiple funding agencies.
Citation	Specific reference in the regulations
Cognizant agency for indirect costs	If a non-Federal entity has a Negotiated Indirect Cost Rate Agreement (NICRA) with the US Government, they will have a cognizant agency who has managed that process and approved the organization's indirect cost rates. This is likely the funding agency that provides the majority of the organization's U.S. Government funding.

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Cost Principles Glossary

Cost share or matching	This is contribution to a U.S. Government award that is provided by the recipient, either in the form of cash or in-kind goods or services.
FAR	Federal Acquisition Regulation. Regulations for U.S. Government contracts.
Federal	U.S. Government
IHE	Institution of Higher Education or university
Non-Federal entity	An organization or company that is not part of the U.S. Government.
Statute	Law

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